

widening the business's moat. When these conditions are present, the business's intrinsic value is optimized. These are the elements of Buffett's wonderful companies. The archetypal wonderful company—think See's Candies—grows with minimal incremental reinvestment, compounding the intrinsic value at a high rate while paying out most earnings. Provided that the business continues to earn returns in excess of the required rate of return and sustain its competitive advantage, investors are rewarded for holding wonderful companies for long periods or, as Buffett quips, “[W]hen we own portions of outstanding businesses with outstanding managements, our favorite holding period is forever.”⁴⁷ This allows the investment to compound without paying capital gains tax and is one of the main reasons that wonderful companies appear to be such attractive investment opportunities.

With this leap made, Buffett had left Graham behind. Where Graham had warned against relying on qualitative matters, Buffett embraced them. Not only that, he embraced two particular factors that Graham had explicitly warned against—the nature of the business and the ability of the management. Graham believed that it was impossible to separate out unusually good returns on capital or uncommonly adept management from a stock enjoying favorable business conditions. “Corrective forces” Graham warned, “are usually set in motion which tend to restore profits where they have disappeared, or to reduce them where they are excessive in relation to capital.”⁴⁸ Buffett acknowledged Graham's caveat, but believed that there existed some businesses earning high returns on invested capital able to resist Graham's corrective forces due to their extraordinary economics. Able management would only prosper on such high-quality businesses, but was essential in managing the capital tied up in the business and maintaining the competitive advantage. The story does not, however, end here.

Notes

1. Alice Schroeder. *The Snowball*. (New York: Bantam Books) 2008.
2. Ibid.
3. Ibid.
4. Warren Buffett, “The Superinvestors of Graham-and-Doddsville.” *Hermes, Columbia Business School Magazine*. Fall, 1984.
5. Schroeder, 2008.
6. Ibid.
7. Warren Buffett, “Partnership Letter: 1960.” *Buffett Associates Limited*, 1961.
8. Ibid.
9. Ibid.
10. Janet Lowe. “Damn Right: Behind the Scenes with Berkshire Hathaway Billionaire Charlie Munger.” (New York: Wiley, 2003).
11. Lowe, 2003.